investors in Indian stock market should stick with high-quality franchises for the long haul without giving undue importance to valuations.

Some readers might say that 'OK, I understand that buying cheap stocks is not a very clever idea. But surely, selling expensive stocks when they become expensive is a good idea.'

To probe this issue, we analysed the impact of valuation-driven 'selling' in a high-quality portfolio and whether it generates incremental returns over and above the 'buy and hold' strategy. We use our Coffee Can Portfolios of the last seventeen years as a proxy for 'high-quality' portfolios for this analysis. We then set an upper and lower limit on the market by using the Nifty's trailing P/E multiple which triggers a SELL or BUY decision on the portfolio. Details of this analysis are discussed in Appendix 3.

We find that such an investment philosophy (which SELLs the Coffee Can Portfolio when the Nifty is trading at above a certain P/E multiple and BUYs the Coffee Can Portfolio when the Nifty is trailing below a certain P/E multiple) does not generate any outperformance relative to the 'buy and hold' style.

The findings above make sense when one realizes that the firms that do make it to the Coffee Can Portfolios enjoy sustainable competitive advantages over their competitors and reflect this in their share price performance. Specifically, the franchises which featured most often in Coffee Can Portfolios tend to have three common characteristics: a) obsessive focus on the core franchise instead of being distracted by short-term gambles outside the core segment; b) relentless deepening of competitive moats and; c) sensible capital allocation. Thus, trying to time the market using valuations as a guide (especially to make 'SELL' decisions) can prove to be counterproductive—companies which possess the three characteristics mentioned in the preceding sentence are not only very rare in India, they will also continue to outperform 99.5 per cent of listed companies year after year on fundamentals.

The Coffee Can Portfolio is skewed towards specific